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PART 3

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5. Our position so far is strong *vis-à-vis* the local authorities. I have seen to it that they appreciate correctness of our policy, which keeps our warships outside territorial waters and leaves to them the responsibility for whatever happens inside the limit. It is now clear that they hoped to solve the problem by capturing the Chusan Islands and that their failure has caused concern. There are reports that General Chên-hua has been relieved of his military responsibilities although Chên Kang Chi maintains that he is still in command.

6. Nothing in this telegram should be read as affecting the recent ship proposal, the Nationalists ought to be able to let her pass without loss of face.

F 18591/10127/10 No. 29

FUTURE OF FORMOSA

Views of General MacArthur

Sir A. Gascoigne to Mr. Bevin. (*Received 16th December*)

(No. 1360. Telegraphic) *Tokyo,*
Sir, *16th December*, 1949.

I asked General MacArthur this morning whether he could give me his views regarding the future of Formosa. Speaking purely personally and most confidentially he said he looked upon this problem as follows :

2. Formosa had been entrusted to the trusteeship of Nationalist China on the understanding that peace and prosperity should obtain in the island. But Formosa was doomed to be involved in the Chinese civil war, and this was contrary to the understanding upon which it had been handed to Chiang Kai-shek. Therefore, he would if he were the United States Government, make a unilateral declaration to the effect that the United States would not permit Formosa to be used either as a springboard for Chiang Kai-shek to attack Red China, or as a goal of Red's ambitions. He felt that this would stop Mao from making any efforts to seize the island.

3. The above of course was a short term solution. In the long term, MacArthur had not made up his mind, but he was evidently inclined to place the island under mandate of the United Nations.

4. MacArthur stressed to me, as he has done before that Formosa came within America's first line of defence in the Pacific, and he explained that he had in mind a unilateral declaration by the United States because he felt that to bring the United Kingdom into it, would possibly be embarrassing to us because of our impending recognition of Peking. Furthermore Formosa was, he thought, essentially the business of the United States as they were in charge of Japan.

5. It was on the above lines, MacArthur said, that he would advise Dr. Jessup when the latter passed through Japan during the first week of next year on his way to the meeting.

F 19055/1023/10 No. 30

CONVERSATION BETWEEN THE SECRETARY OF STATE AND THE CHINESE AMBASSADOR

Policy of His Majesty's Government regarding recognition of the Chinese Communist Government

Mr. Bevin to Mr. Hutchison (*Nanking*)

(No. 196. Confidential) *Foreign Office,*
Sir, *19th December*, 1949.

The Chinese Ambassador called on me to-day and brought with him a report from the political correspondent of *Reynolds News* of 18th December, to the effect that His Majesty's Government had decided to proceed to the recognition of the Communist Government in China without waiting for France or America and that an announcement would be made before the end of the year.

2. Dr. Cheng Tien Hsi asked me whether in fact any foundation existed for such an